



“Indian consumers are value conscious and not price conscious. They are not subscribing to a service because it’s cheaper, but because of its value proposition”

SUSHANT SREERAM
COUNTRY DIRECTOR,
AMAZON PRIME VIDEO, INDIA



“TVoD gives viewers the option to sample a lot of content. Pricing is important, but right now the focus is on expanding the market and building more subscriber base”

MANISH KALRA
CHIEF BUSINESS OFFICER, ZEE5

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cus is on expanding the market and building the subscriber base.” He adds that rentals bring in a low, single-digit percentage of ZEE5’s total revenues. Amazon Prime Video also permits users to rent movies. “The thought is simple: expand the choice available to our customers through industry-wide collaborations, and make streaming an even more convenient experience,” says Prime Video’s Sreeram about its marketplace hub—Prime Video Channels and Movie Rentals—which provides access to content beyond the Prime subscription.

But TVoD has a flirting audience, and it is riddled with the discomforts of using OTPs and credit cards with every use, says

Chrome’s Krishna. Kalra likens it to the FMCG industry’s successful attempt at expanding into the rural markets with the ₹1-shampoo sachets. “Does TVoD get me more of those subscribers, or does it take away from the annual subscribers? We’ll learn,” he says.

PACKING A PUNCH

To be sure, the SVoD market is poised to grow as the Indian OTT market expands. But an estimated 50-75 per cent of SVoD revenues come from telecom bundling now. “Most subscribers [for OTT platforms] come from bundling with telcos, where you have a lot of people in a telecom plan. But how many

THE CONTENT+ EDGE



Amazon Prime Video’s e-commerce model gives it an edge over rivals. India has amongst the highest proportion of Prime members who stream Prime Video every month



Reliance Industries-backed JioCinema has access to the group’s telecom player Reliance Jio’s 400-odd million mobile subscribers



Netflix, considered a niche OTT platform, is betting on gamifying its popular original series such as *Narcos* and *Stranger Things*

**INDIA HAS
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million OTT users, but 49 million SVoD viewers with an average of 2.4 OTT subscriptions per paying audience member, per Ormax Media data from December 2022

people activate their accounts? What is their engagement?” said Monika Shergill, VP of Content at Netflix India, at an event in Mumbai in May. “It’s early days for the industry, but it’s not as early to become responsible in terms of what model of streaming we are building,” she added.

And with the economics of streaming only content pinching hard, OTT platforms are now looking beyond video to give more bang for the Indian viewer’s buck. Pantvaiddya says the real scale for OTT lies at the intersection of e-commerce and retail, as it can straightaway augment the addressable market. “AVoD-SVoD is a done deal where AVoD has already won